

2:00 PM

LINE 4

23-CIV-02884

GONGQINGCHENG PANHUI INVESTMENT MANAGEMENT PARTNERSHIP VS. LIHUI BAI,
ET AL.

GONGQINGCHENG PANHUI INVESTMENT MANAGEMENT PARTNERSHIP
LIHUI BAI

BRETT RAMSAUR
GABRIEL COLWELL

SPECIALLY APPEARING DEFENDANT JIMAN ZHU'S MOTION TO QUASH SERVICE OF SUMMONS

TENTATIVE RULING:

For the reasons stated below, Defendant Jiman Zhu's "Motion to Quash Service of Summons," filed March 26, 2026, is GRANTED.

Plaintiff's June 10, 2026 Request for Judicial Notice is GRANTED. (Evid. Code, § 452, subd.(d).)

As he did back in February 2025, specially appearing Defendant Jiman Zhu once again moves to quash the service of summons upon him, contending the Court lacks jurisdiction over him. (See Code of Civ. Proc., § 418.10, subd. (a)(1).) On February 18, 2025, Mr. Zhu filed a similar Motion to Quash service of the summons, in which he argued that service of the Summons should be quashed because (1) the Court improperly authorized Plaintiff to serve Mr. Zhu by publication, because Plaintiff had not shown reasonable diligence in first seeking to serve Mr. Zhu by other means before resorting to service by publication; and (2) the Court lacks in personam (general or specific) jurisdiction over Mr. Zhu.

In May 2025, the Court granted Mr. Zhu's prior Motion to Quash (May 21, 2025 Order), agreeing with Mr. Zhu that Plaintiff had not shown adequate diligence in attempting to serve Mr. Zhu via traditional methods before seeking to serve him by publication. In granting Mr. Zhu's prior Motion to Quash, the Court declined to address the issue of general or specific jurisdiction, since doing so was unnecessary to the ruling.

In the present Motion to Quash, Mr. Zhu again moves to quash service of the summons on the same two alternative grounds: (1) that the Court lacks general or specific jurisdiction over Mr. Zhu, and (2) the Court improperly granted Plaintiff authorization to serve Mr. Zhu by publication.

As discussed below, since the Court finds that Plaintiff has not shown that Mr. Zhu had sufficient minimum contacts with California at the time this case was filed to support a finding of personal jurisdiction over him, the Court declines to address the service by publication issue.

GENERAL PRINCIPLES RELATING TO PERSONAL JURISDICTION

A California court “may exercise personal jurisdiction on any basis consistent with the Constitutions of California and the United States.” (*Preciado v. Freightliner Custom Chassis Corp.* (2023) 87 Cal. App. 5th 964, 975–76; see also Code Civ. Proc., § 410.10.) “The exercise of jurisdiction over a nonresident defendant comports with these Constitutions ‘if the defendant has such minimum contacts with the state that the assertion of jurisdiction does not violate “traditional notions of fair play and substantial justice.’” (*Id.*) Under the minimum contacts test, ‘an essential criterion in all cases is whether the “quality and nature” of the defendant’s activity is such that it is “reasonable” and “fair” to require him to conduct his defense in that State.’” (*Id.*)

A motion to quash service of a Summons for lack of personal jurisdiction is an evidentiary motion. When, as here, a defendant moves to quash service of process on jurisdictional grounds, the plaintiff has the initial burden of demonstrating facts justifying the exercise of jurisdiction by a preponderance of the evidence. (*Vons Companies, Inc. v. Seabest Foods, Inc.* (1996) 14 Cal.4th 434, 449; *ViaView, Inc. v. Retzlaff* (2016) 1 Cal.App.5th 198, 209-210 (*ViaView*).) To satisfy this initial burden, a plaintiff “must come forward with affidavits and other competent evidence ... and cannot simply rely on allegations in an unverified complaint.” (*ViaView* at p. 210; *Rivelli v. Hemm* (2021) 67 Cal.App.5th 380, 393 [jurisdictional allegations must be supported by “competent evidence of jurisdictional facts. Allegations in an unverified complaint are insufficient to satisfy this burden of proof.”]; (*Mihlon v. Superior Court* (1985) 169 Cal.App.3d 703, 710 [an unverified pleading has no evidentiary value in determining personal jurisdiction.]) Once the plaintiff establishes facts showing minimum contacts with the forum state, it then becomes the defendant’s burden to demonstrate that the exercise of jurisdiction would be unreasonable. (*Vons, supra*, 14 Cal.4th at pp. 444-449.)

There are “two kinds of personal jurisdiction: general (sometimes called all-purpose) jurisdiction and specific (sometimes called case-linked) jurisdiction.” (*Ford Motor Co. v. Montana Eighth Judicial Dist. Court* (2021) 592 U.S. 351, 358 (*Ford Motor*).)

PLAINTIFF HAS NOT ARGUED, NOR SHOWN, THAT THE COURT HAS GENERAL JURISDICTION OVER MR. ZHU

Plaintiff’s Opposition does not argue that the Court has general jurisdiction over Mr. Zhu, essentially conceding that general jurisdiction does not exist. “For an individual, the paradigm forum for the exercise of general jurisdiction is the individual’s domicile ... but a court may also exercise general jurisdiction over a nonresident defendant where the defendant’s presence in the forum is so ‘continuous and systematic’ that the defendant is ‘essentially at home’ there. (*Daimler AG v. Bauman* (2014) 571 U.S. 117, 137, 139, fn. 19; *Hardell v. Vanzyl* (2024) 102 Cal. App. 5th 960, 971 [defendant’s contacts with the forum must be so wide-ranging that they take the place of physical presence in the forum].) Because Plaintiff has not argued nor shown that Mr. Zhu was in any sense “at home” in California, a general jurisdiction showing has not been made.

*PLAINTIFF HAS NOT SHOWN THAT THE COURT HAS SPECIFIC JURISDICTION OVER
MR. ZHU*

In contrast to general jurisdiction, specific jurisdiction “covers defendants less intimately connected with a State, but only as to a narrower class of claims. The contacts needed for this kind of jurisdiction often go by the name ‘purposeful availment.’ “ (*Ford Motor, supra*, 592 U.S. at p. 359 [141 S.Ct. at p. 1024].) For a state to have specific jurisdiction, the defendant “must take ‘some act by which [it] purposefully avails itself of the privilege of conducting activities within the forum State.’ The contacts must be the defendant's own choice and not ‘random, isolated, or fortuitous.’ They must show that the defendant deliberately ‘reached out beyond’ its home—by, for example, ‘exploit[ing] a market’ in the forum State or entering a contractual relationship centered there. Yet even then—because the defendant is not ‘at home’—the forum State may exercise jurisdiction in only certain cases. The plaintiff's claims ... ‘*must arise out of or relate to the defendant's contacts’ with the forum.*” (*Id.* at p. 359 [emphasis added].)

Thus, a two-part showing by the plaintiff is required to establish specific jurisdiction: “[(1)] the defendant has ‘purposefully directed’ his activities at residents of the forum, ... and [(2)] the litigation results from alleged injuries that ‘arise out of or relate to’ those activities.” (*Burger King Corp. v. Rudzewicz* (1985) 471 U.S. 462, 472–473.)

Here, the evidence, as well as Plaintiff's own allegations, describe a PRC-based dispute that has little connection with California. Plaintiff is a PRC resident. (FAC at ¶ 10.) Plaintiff alleges that Mr. Zhu is also a PRC resident. (*Id.* at ¶ 11.) There is no dispute that the Repurchase Agreement, which formed the basis for the underlying lawsuit in China, was executed and performed in China. (*Id.* ¶¶ 15-24); *id.* at Ex. 1, English Translation at p. 2-6.)

Mr. Zhu has testified that he has never resided in California, does not own any personal or real property or assets in California, and does not operate any business in California. (Feb. 2025 Zhu Decl. at ¶¶ 2-3; Mar. 2026 Zhu Decl., at ¶ 2 (confirming “[n]one of the facts set forth in the Feb. 2025 Zhu Decl. have changed”). By Plaintiff's own admission, Plaintiff investigated whether Mr. Zhu ever owned real property or used any property address(es) in California, but found no property associated with Mr. Zhu. (Nov. 22, 2024 Decl. of Rongping Wu, ¶ 12.)

Instead, to support its specific jurisdiction argument, Plaintiff offers evidence regarding the following: (1) in 2017, Mr. Zhu received child surrogacy services in California, and participated in related litigation in California for child parentage; (2) Mr. Zhu had some connection with a California corporation (Gloria Biotech Corporation), based in Hong Kong, which dissolved in 2024; (3) an alleged Zhu family business entity (Harbin Gloria Pharmaceuticals Co., Ltd.) made a \$40 million investment in a Delaware company (Proteus Digital Health, Inc.) which was registered to do business in California, which declared bankruptcy in 2020; and (4) prior to 2023, Mr. Zhu's wife, co-defendant Bai, partly-owned real property in Atherton, Ca. (See Opp. at 10; June 2026 Wu Decl. at ¶¶ 21-23.)

But Plaintiff has not sufficiently explained/shown how any of Mr. Zhu's above-referenced alleged California contacts relate to the underlying PRC Judgment and/or to the present lawsuit.

That is, Plaintiff has not shown/explained a sufficient nexus between Mr. Zhu's alleged California contacts and the present case, or the underlying PRC litigation.

The referenced surrogacy proceeding and related litigation (see June 10, 2026 Rongping Wu Decl., ¶ 21) do not appear to have anything to do with the present case and/or the PRC litigation. Mr. Wu's declaration states that in 2017, long before entry of the 2020 PRC judgment, Mr. Zhu and his wife came to California and contracted for surrogacy services to be performed by a surrogate in California, and they later engaged in litigation in California to establish their parentage. (Wu Decl., 21.) But Plaintiff does not even argue that these California contacts have/had any connection with this case or the PRC judgment.

Paragraph 22 of Rongping Wu's June 10, 2026 Declaration states, in part:

22. Upon information and belief, Judgment Debtors amassed their fortune in the pharmaceutical industry by establishing a corporate network of entities sharing the name "Gloria." The backbone entity of their enterprise was Harbin Gloria Pharmaceuticals Co., Ltd. Judgment Debtors held their equity in and controlled the backbone entity through Gloria Group, a co-judgment debtor in the Final Judgment and also the sole shareholder of Gloria Holdings (Hong Kong) Co., Ltd. As of March 2023, the Defendant was the sole director of Gloria Holdings (Hong Kong) Co., Ltd. A true and accurate copy of Gloria Holdings (Hong Kong) Co., Ltd.'s 2022 Annual return filed with the Hong Kong Companies Registry is attached hereto as Exhibit G. Harbin Gloria Pharmaceuticals Co., Ltd., made a \$40 million investment in Proteus Digital Health, Inc., an entity registered to do business in California and organized in Delaware. Proteus Digital Health, Inc.'s equity received in exchange for the investment was subsequently held by Gloria Holdings (Hong Kong) Co., Ltd. On or around June 15, 2020, Proteus Digital Health, Inc., filed for bankruptcy in Delaware. Gloria Holdings (Hong Kong) Co., Ltd., is listed as the holder of 1,582,275 shares in the bankruptcy documents. True and accurate copies of the CA Secretary of State registration and initiating documents for the Delaware bankruptcy proceeding for Proteus Digital Health, Inc., are attached hereto as Exhibit H.

Paragraph 23 of Wu's June 10, 2026 Declaration states:

Gloria Biotech Corporation was incorporated in California on March 18, 2021, and dissolved on 14 February 2023. For the duration of its brief existence, Gloria Biotech Corporation's Secretary was Defendant's daughter-in-law, the spouse of the Son, and its mailing address was the Pacifica Address. Upon information and belief, Gloria Biotech Corporation was owned by Gloria Holdings (Hong Kong) Co., Ltd., and controlled by the Defendant. Although incorporated in California, Gloria Biotech Corporation's principal executive office address was listed [at an address in Hong Kong], which is the registered address of Gloria Holdings (Hong Kong) Co., Ltd. A true and accurate copy of the 2022 Statement of Information for Gloria Biotech Corporation filed with the California Secretary of State is attached hereto as Exhibit I.

But nowhere in Plaintiff's Opposition brief (at pp. 7-8; 10-11) or in the Wu Declaration (at ¶¶ 21-23) does Plaintiff meaningfully explain how Mr. Zhu's above-referenced contacts with California are connected to this litigation or to the underlying PRC judgment, nor any such connection apparent to this Court. This lack of a sufficient nexus is dispositive, because to provide a basis for specific jurisdiction, the controversy must be related to or arise out of Mr. Zhu's contacts with California. (*Vons, supra*, 14 Cal.4th 434, 446-47.) Furthermore and also dispositive, declarations based upon information and belief are of no evidentiary value. (*Ancora-Citronelle Corp. v. Green* (1974) 41 Cal.App.3d 146, 150 fn. 2 [*citing Riviello v. Journeymen Barbers, etc., Union* (1948) 88 Cal.App.2d 499, 503]; see *Cal. Prac. Guide Civ. Pro. Before Trial* § 9:60 (TRG June 2026 update).) The key information in the Wu declaration is based upon information and thus in this evidentiary motion, plaintiff has failed to meet the required evidentiary burden.

Having reviewed the moving, opposition, and reply papers and the supporting evidence, the Court finds that Plaintiff has not shown that this controversy is related to or arises out of Mr. Zhu's contacts with California.

*PLAINTIFF HAS NOT SHOWN THAT THE COURT HAS QUASI IN REM JURISDICTION
OVER MR. ZHU*

In the alternative, Plaintiff argues that Mr. Zhu owns or had an ownership interest in real property in California over which this Court may exercise quasi in-rem jurisdiction. The Court disagrees that Plaintiff has made such a showing.

“Theoretically and traditionally, an exercise of quasi in rem jurisdiction depends entirely upon the presence of property of the defendant in the forum[.]” (*Javorek v. Superior Ct.* (1976) 17 Cal.3d 629, 638, fn. 8.) Unlike an in personam judgment, “[t]he effect of a judgment in [a quasi in rem jurisdiction] case is limited to the property that supports jurisdiction and does not impose a personal liability on the property owner, since he is not before the court.” (*Shaffer v. Heitner* (1977) 433 U.S. 186, 199.)

As noted, Mr. Zhu has provided a sworn statement that he does “not own any personal or real property or assets ... in California.” (Feb. 2025 Zhu Decl. at ¶ 3.) Plaintiff argues that Mr. Zhu's wife's (Ms. Bai's) prior ownership of the Atherton property may be used as a basis for quasi in rem jurisdiction, based on a theory that Mr. Zhu had a community property interest in the Atherton property. (Opp. at 12.) Plaintiff does not show by admissible evidence that Mr. Zhu's statement is false.

First, the evidence indicates that Ms. Bai has not held an interest in the Atherton property since April 2022, about a year before Plaintiff filed this case, when Ms. Bai conveyed her interest in the Atherton property to her son. (June 2026 Wu Decl. Ex. F (reflecting sole ownership by Yihua Zhu as of April 2, 2022); June 2026 Wu Decl. at ¶ 20 (same). Thus, even if Mr. Zhu had some community property interest in the past, that interest apparently was conveyed/ended a year prior to Plaintiff filing this case.

Second, even if Mr. Zhu's spouse (co-defendant Bai) still held an ownership interest in the Atherton property, community property rights generally only apply where at least one of the spouses was domiciled in California at the property was acquired. (Fam. Code, § 760 [community property laws apply to property "acquired by a married person during the marriage while domiciled in this state"] *Grappo v. Coventry Fin. Corp.* (1991) 235 Cal.App.3d 496, 505 ("Generally, the court looks to the domicile of the parties at the time the property was acquired to characterize the property")). Plaintiff does not show that Mr. Zhu or Ms. Bai were ever domiciled in California. All the evidence demonstrates that that Zhu and Bai both reside in China. (FAC at ¶¶ 11, 12); Feb. 2025 Zhu Decl. at ¶ 2 ("I am not a resident of the State of California and have never been a resident of the State of California").

Further, Mr. Zhu offers evidence suggesting that his wife purchased the Atherton property with separate property funds. (Feb. 2025 Zhu Decl. at ¶ 4 ["Separate funds that I do not have possession or control over were used to purchase the [Atherton] property."]) If that is true, the property was presumably held as Ms. Bai's separate property. (*In re Marriage of Mix* (1975) 14 Cal.3d 604, 610.) Plaintiff submits no evidence to the contrary.

Accordingly, for the foregoing reasons, co-defendant Bai's prior ownership of the Atherton property establishes a basis for exercising quasi in rem jurisdiction over Mr. Zhu.

Conclusion. For the foregoing reasons, defendant Zhu's motion to quash is GRANTED.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for specially appearing defendant shall prepare a written order consistent with the Court's ruling for the Court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE 5

24-CIV-03737

JESSICA LORENZO VS ANX HOLDINGS LLC

JESSICA LORENZO
ANX HOLDINGS LLC

DOUGLAS HAN

MOTION FOR FINAL APPROVAL OF CLASS ACTION SETTLEMENT, CLASS COUNSEL FEES PAYMENT, CLASS COUNSEL LITIGATION EXPENSE PAYMENT, AND CLASS REPRESENTATIVE SERVICE PAYMENT

TENTATIVE RULING:

The court rules on plaintiff's unopposed motion for final approval of class action settlement and award of attorneys' fees, service award and costs as follows:

The Court Grants Approval of the Settlement

On January 20, 2026 (with written order on January 28, 2026), the court granted preliminary approval to this class and PAGA (Private Attorney General Act) settlement. The action alleges wage and hour violations.

According to the preliminary approval motion, it was estimated that there are approximately 83 class members, who worked 9,000 workweeks. The proposed settlement amount is \$335,000. The settlement is estimated to provide an individual average settlement amount of \$1,780.12. The settlement will provide a payment of \$13,000 to the California Labor and Workforce Development Agency (LDWA) (i.e., 75% of the \$20,000 amount allocated to resolve the PAGA allegations). The remaining \$7,000 shall be distributed amongst Aggrieved Employees. The LDWA has not objected to the settlement. The declaration of Amanda Howard from ILYM Group, Inc.(ILYM), the court approved claims administrator, states that there are 116 participating class members, of which 72 are aggrieved employers and that the average individual class payment is \$1,342.73 with the highest individual class payment of \$4,955.15 before the deduction of taxes. (Howard Decl., ¶¶ 14-15.)

In ruling on settlements involving class and PAGA claims, this court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664 [“trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.”]; *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 [“ ‘The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.’ “].)
